Pre-Financing Margin

The pre-financing margin is the rate of profit earned prior to the costs of financing. The reason for excluding financing costs is that these vary from organisation to organisation. These also vary on account of the method of financing. The pre-financing margin is therefore calculated by dividing earnings before interest and tax by sales, and expressing this as a percentage.

$$\text{Pre-financing margin} = \frac{\text{Earnings before interest and tax}}{\text{Sales}} \times 100$$

Illustration

In the earlier example of Kumar Wheels Ltd. the relevant figures were:

	Rs. (lakh)
Sales	8,000
Earnings before interest and tax	850

$$\text{Pre-financing margin} = \frac{850}{8{,}000} \times 100 = 10.25\ \%$$

It would be more appropriate to calculate the pre-financing margin after excluding non-recurring income or expenses. In that case, the Rs. 50 lakh profit on the sale of a factory should be deducted and the margin would be:

$$\frac{850 - 50}{8{,}000} \times 100 = 10\ \%$$

This is a good measure for comparing the profitability of organizations.